Qualification Programme Examination Panelist's Report

Module 3 – Business Economics
(December 2020 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This section consisted of 20 multiple-choice questions covering the whole syllabus (on economics and business statistics). A solid performance in this section would have reflected that candidates had prepared well for the examination, demonstrated basic knowledge of the issues, and had a solid understanding of the relevant concepts and techniques in the syllabus.

The candidates' overall performance was satisfactory on knowledge and calculation-type questions but unsatisfactory in application-type questions.

Specific Comments

Candidates' performance was weak in the following areas:

- Use of demand and supply diagrams to analyse the impact on equilibrium price and quantity resulting from simultaneous shifts of both curves (e.g., Q2)
- Familiarity with the basic definitions of important economic terms and statistical concepts (e.g., Q5 and Q11)
- Familiarity with key formulas and their use (in economics) (e.g., Q15)

An efficient and effective way for candidates to gain a basic understanding of the whole syllabus and the types of questions that they might face in the examination is to go through the entire study guide for this module.

(II) Section B – Written Questions

General Comments

This section consisted of 5 questions.

Specific Comments

Question 1(a)(i) – 2 Marks

This question required candidates to explain the basic principle of marginal analysis under which the (resource allocation) decision was made.

Performance was less than satisfactory. Candidates seemed to have been insufficiently prepared.

Question 1(a)(ii) – 4 Marks

This question required candidates to define opportunity costs and explain its role in marginal analysis.

Performance was unsatisfactory. The majority of candidates failed to provide a clear definition of opportunity cost, which is fundamental to the studies of economics and efficient decision-making.

Question 1(a)(iii)(1) – 2 Marks

This question required candidates to apply marginal (cost-benefit) analysis in a decision-making scenario that involved the concept of sunk cost (due to the loss of tickets).

Performance was less than satisfactory. This was expected given the relatively poor performance in the parts above.

Question 1(a)(iii)(2) – 4 Marks

This question required candidates to apply total (cost-benefit) analysis to the same decision-making scenario as in part (1).

Performance was unsatisfactory. Although most candidates mentioned the relevant term (i.e., sunk cost) that differentiated total cost from marginal cost, the majority failed to apply the concept to conduct simple calculations that would lead them to the same conclusion arrived in part (1).

Question 1(b)(i) – 2 Marks

This question required candidates to define price elasticity of demand.

Performance was unsatisfactory. Candidates were not familiar with the term due to weak backgrounds in economics and insufficient preparation for the examination.

Question 1(b)(ii) – 2 Marks

This question required candidates to explain what useful information would be provided by price elasticity in addition to that provided by demand and supply analysis in decision-making.

Performance was unsatisfactory. In addition to insufficient preparation, candidates also exhibited difficulty in applying the two related concepts in a decision-making context.

Question 1(b)(iii) – 5 Marks

This question required candidates to apply the two concepts (demand & supply and price elasticity) to analyse how a price increase would affect the sales quantity and revenue.

Performance was unsatisfactory. The majority of candidates failed to interpret the elasticity value correctly and thus arrived at incorrect conclusions regarding not only the impact of price rise on revenue but also the sales quantity.

Question 2(a)(i) – 2 Marks

This question required candidates to define technical recession.

Performance was unsatisfactory. The majority of candidates were not able to state the defining features of recession. Those who could identify the key features of recession nonetheless failed to distinguish between recession in general and technical recession. This poor performance could be explained by insufficient preparation as the study guide of the module provided the definition.

Question 2(a)(ii) – 2 Marks

This question required candidates to define business cycle.

Performance was unsatisfactory. The majority of candidates failed to provide any of the distinguishing features of business cycle other than the basic meaning of "cycle".

Question 2(a)(iii) – 2 Marks

This question required candidates to describe the relationship between business cycle, economic slowdown, and recession.

Performance was unsatisfactory. Most candidates failed to recognise even informally the difference between economic slowdown and recession, and those who did exhibited difficulty in relating both to the business "cycle".

Question 2(b)(i) – 3 Marks

This question required candidates to define fiscal policy and explain how contractionary policy would affect economic performance.

In general, performance was satisfactory. Most candidates were able to state what fiscal policy was and the meaning of "contractionary" policy. However, only a few clearly stated the role of government spending and tax in conducting contractionary fiscal policy.

Question 2(b)(ii) – 3 Marks

This question required candidates to define monetary policy and explain how expansionary policy would affect economic performance.

Performance and issues encountered in this question were essentially the same as in Q2(b)(i)

Question 2(b)(iii) – 3 Marks

This question required candidates to explain how the central bank would conduct "open market operations" (candidates were required to name the operation) so as to affect money supply and interest rate.

Performance was unsatisfactory. Most candidates were not familiar with the term "open market operations" and exhibited signs of misunderstanding relating to the relationship between money supply and interest rate (i.e., the basic transmission mechanism).

Question 2(b)(iv) – 5 Marks

This question required candidates to describe two other tools commonly used by central banks to conduct (expansionary) monetary policy.

Performance was unsatisfactory. The poor performance was expected given the lack of familiarity candidates exhibited with open market operations (arguably the main tool of conducting monetary policy). This again reflected insufficient exam preparation, which seems to have been prevalent in this round of examinations.

Question 2(c) – 4 Marks

This question required candidates to determine if the statement that described Hong Kong's monetary policy reaction to an overheating economy would be similar to other countries/jurisdictions was true or false.

Performance was unsatisfactory. The majority of candidates' answers (even if they had drawn the correction conclusion that the statement was false) failed to recognize that the Hong Kong Monetary Authority (Hong Kong's de-facto central bank), in pursuit of the Linked exchange rate system, has essentially given up the interest-setting power that a typical central bank would have. This to a certain extent reflected candidates' lack of financial common knowledge at the economy level.

Question 3(a) – 2 Marks

This question required candidates to state and describe the two major branches of statistics.

Performance was unsatisfactory. This poor performance to a significant extent reflected candidates' weak backgrounds in statistics and insufficient preparation for the examination.

Question 3(b)(i) – 3 Marks

This question required candidates to complete a table (frequency distribution) that would provide the basic information for the calculation of basic statistics in the subsequent parts of the question.

Performance was fair.

Question 3(b)(ii) – 4 Marks

This question required candidates to compute a couple of central tendency statistics (mean and median).

Performance was less than satisfactory. The calculations were straightforward and the relatively poor performance may have reflected a weak background in statistics and insufficient preparation.

Question 3(b)(iii) – 3 Marks

This question required candidates to compute a dispersion statistic (standard deviation).

Performance was unsatisfactory. Candidates who provided an incorrect formula either did not study the formula beforehand or failed to make use of the numerical data computed in part 3b(i).

Question 3(b)(iv) – 5 Marks

This question required candidates to apply the concepts relating to central tendency and dispersion asked in the above parts to determine how a change in the group's data would affect the statistics.

Performance was satisfactory. Although most of the candidates were able to reach the correct conclusion (as to whether the statistic was affected or not affected), they failed to provide clear/correct explanations as to how they had reached this conclusion.

Question 4(a)(i) – 2 Marks

This question required candidates to define population and sample in statistics.

Performance was fair. The majority of the candidates were able to identify the features of the two concepts.

Question 4(a)(ii) – 2 Marks

This question required candidates to provide two reasons why researchers would usually work with sample instead of population.

Performance was fair. Most candidates were able to identify two valid reasons.

Question 4(b) – 3 Marks

This question required candidates to define sampling error and state two conditions under which the errors could be avoided.

Performance was unsatisfactory. Although the majority of candidates were able to define sampling error correctly, they seemed to not be aware that the question was asking about ways to "avoid" (rather than "reduce") sampling error problems. This misreading of the question might have more to do with "memorizing standard issues and answers" rather than overlooking what the question was actually asking.

Question 4(c) – 3 Marks

This question required candidates to define the random sampling method (of probability sampling) and describe two other methods.

Performance was less than satisfactory. Only a few candidates were able to tell the difference between random sampling and probability sampling (of which random sampling was one type). In addition, most candidates failed to name the other two methods correctly. A weak background in statistics and lack of preparation remain the two most likely explanations for this poor performance.

Question 5(a) – 4 Marks

This question required candidates to compare the difference between point estimate and confidence interval of a population parameter.

Performance was unsatisfactory. Most candidates incorrectly focused on the comparison between "population parameter" and confidence interval rather than between point estimate and confidence interval of population parameters. This confusion mostly likely arose from poor understanding of the terms due to a weak background in statistics and insufficient preparation for the examination.

Question 5(b) – 4 Marks

This question required candidates to compute a 95% confidence interval of the population proportion (of a company's employees taking part in professional examinations).

Performance was unsatisfactory. The calculations involved were straightforward and mechanical. This poor performance was once again likely to be the consequence of a weak background in statistics and lack of preparation for the examination.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was unsatisfactory. The main identifiable reasons were a weak background in statistics (candidates' backgrounds in economics were also weak but seemed to not be as weak as in statistics) and a severe lack of preparation for the examination.

Candidates are strongly advised to carefully go through the study guide of the module in order to acquire a solid understanding of the main issues (economics and statistics). Supplementary reading beyond the study guide would be of great help to candidates who have not studied economics and/or statistics before.